

you're simply at risk of being pointed toward properties at the upper bounds of the price range your lender assigns to you.

Your lender generates income when they originate mortgages. Often, they earn about 1 percent of the total loan amount—so the bigger the mortgage, the more money they make. This means they will give you a very clear picture of the largest possible loan to which you have access. Though they have a personal gain at stake, they're (most likely) not practicing their villainous laughter for the day they triumph over your feeble attempts to get a smaller loan. You, the buyer, should hold yourself responsible for setting boundaries when it comes to the price tag of your mortgage.

Any buyer should go into the purchasing process with a pre-established overview of their true purchasing power, an understanding of their local market, and a strong idea of what they really want out of their home. (Which, if you've been paying attention, is one that offers you flexibility and a step up toward your long-term financial goals. If you haven't caught any of this, you *might* need to grab another cup of coffee.)

If you instead start the purchasing process by talking to your lender about what you can qualify for, you might be blinded by that number because you technically *can* afford it. What could it hurt to look at houses that are on the pricier side? That fabulous loan officer told you it will be perfectly fine to buy that dream home.

The best way to avoid this temptation is to go in with some numbers already in mind. You can use a basic online mortgage calculator to estimate how your credit score, income, and debt will affect your maximum purchase price. Then you'll see what monthly payments might look like, which you can compare to your personal budget. If you approach your lender with these two numbers set in stone—the maximum purchase price and maximum monthly payment to which you'll commit—you can skip a lot of the pleasantries and get straight to business.

Also, it almost goes without saying, but we'll say it anyway: Before you think about reaching out to lenders, you should consider the state of your finances. We talked about the basics of home buyer finances in the previous chapter: your credit score, income stability, debt-to-income ratio, and available cash. If you don't have your finances in order, you may need to put your homeownership dreams on temporary hiatus.